

However, for statistical purposes, I programmed my computer to wait for confirmation and buy at the opening price a day later.

In this book, I repeat that you should wait for confirmation, but in my actual trading, I buy using a buy stop a penny above the confirmation price. Why? Here's what I wrote on my website

(<http://thepatternsite.com/BestEntry.html>): “Waiting for confirmation, buying at the open the day after price closes above the top of the double bottom, doubles the median rise while cutting the failure rate in half. However, the best entry is to place a buy stop a penny above the top of the double bottom. That cuts the failure rate and marginally boosts the median rise, too.”

Returning to the 20 October trade, “Buy reason: Good upside breakout from the double bottom, especially coming on a day when the Dow was down 133 points. I wanted to add more to my position because I think this will Big W move up to 25.50 to 26. I don't particularly like the company or its prospects, but I do think the Dow will recover tomorrow and help keep this stock moving up.”

I like countertrend trades, where the stock is moving up when the Dow industrials are dropping, as in this case. I did a study of countertrends, posted on my website, about the effectiveness of countertrend trades, but it's too complicated to discuss here, and I'm not sure this stock actually qualified as a countertrend stock (I haven't checked).

- Lesson: Countertrend trades (when the markets continue lower but the stock continues to rise) can suggest better performance.

Over the following days, I raised the stop four times, chasing price as the stock climbed. “8 December 2005. Stop raised to 22.33, just below the descending triangle that formed. It's the smart play.”

The next day, the stock hit my stop. “Sold at: 22.33, the stop price. Sell reason: hit stop. I raised the stop because I felt a downward breakout from the descending triangle would mean a giveback of any gains.”

On the first trade, I made 3% (using a buy stop). On the second trade, I lost 2% (waiting for confirmation).